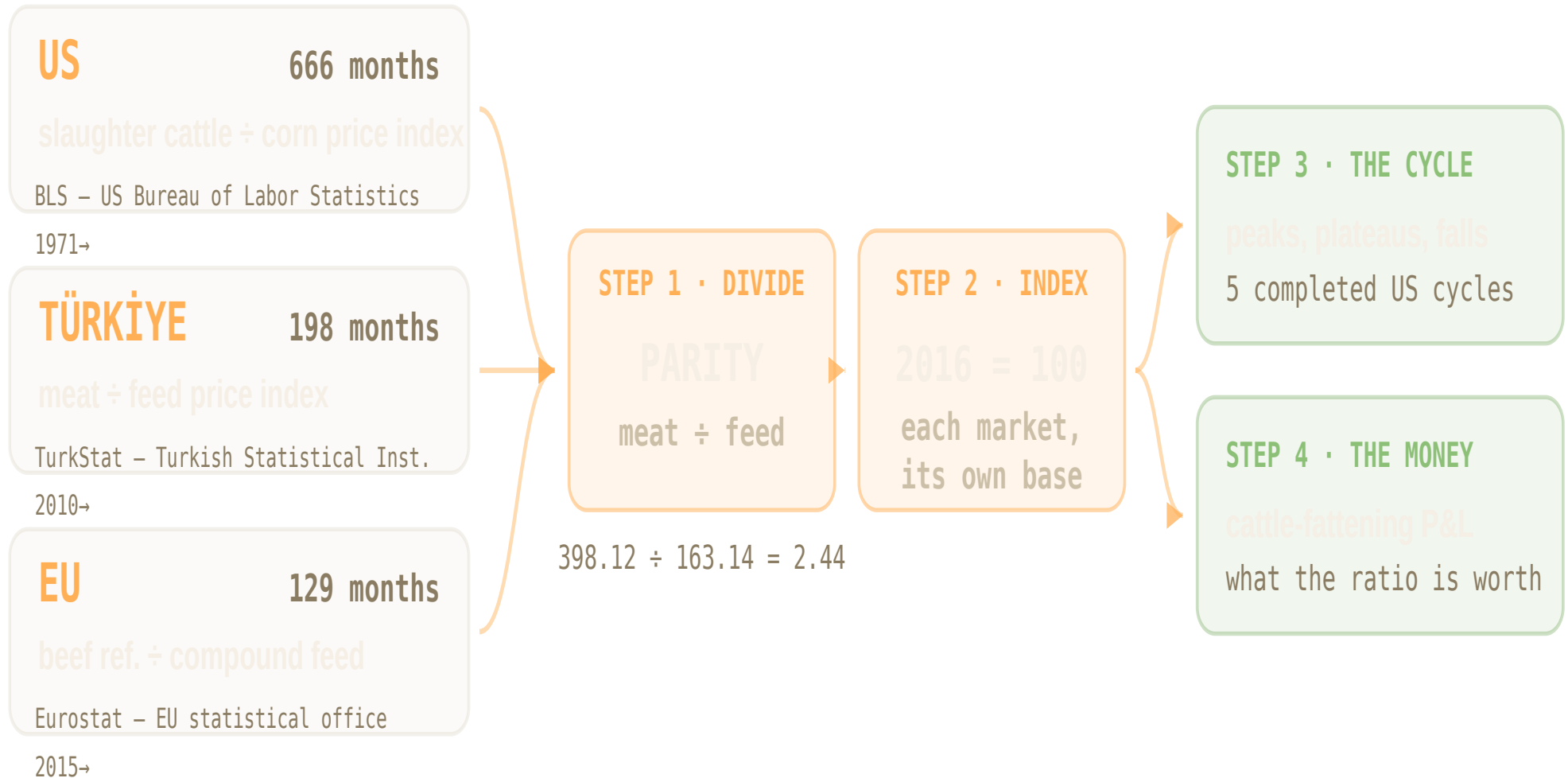


55 years of US data. 16 of Türkiye. 11 of the EU.

Six published price series — every monthly observation each country has — consolidated into one comparable measure of what a livestock producer earns, then read for its cycle.



Cattle producers in all three of our markets are at a cycle peak.

+84%_{US} **+25%**_{EU} **+21%**_{TR}

more feed a kilo of beef buys today than it did in 2016 — each market against its own past

13

months the US has already spent within 10% of its peak

0

of the five previous US peaks that lasted — every one fell back

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of beef is worth in feed.

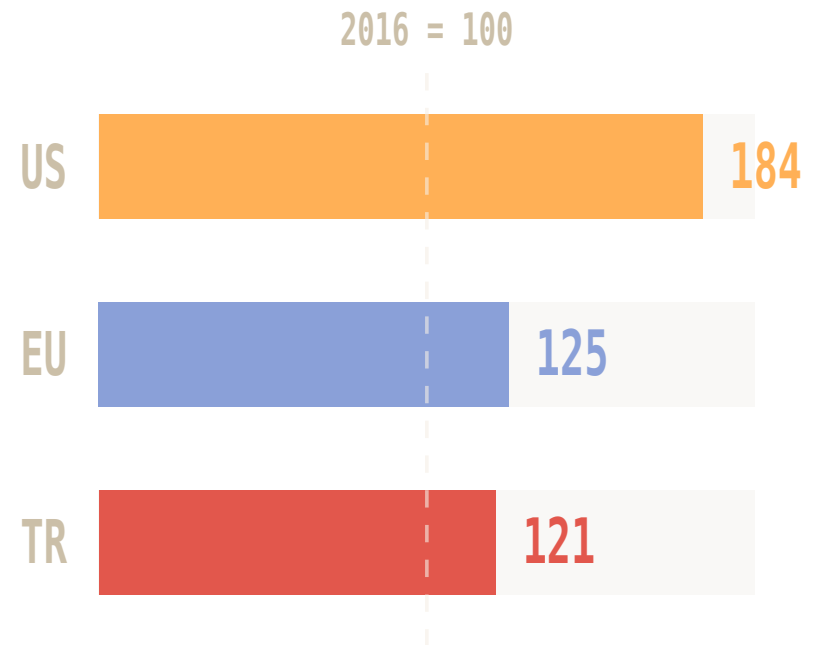
Higher = meat outpacing feed, the producer earns more. It is a relative measure — read it against its own past, never as a quantity of feed.

FEED-BUYING POWER OF A KILO OF US BEEF

Dec 1974 1 kg → ● ×1
the weakest month on record

Jun 2026 1 kg → ●●●●●● (×6.2
6.2 times stronger

ALL THREE MARKETS · EACH VS ITS OWN 2016



US 184 = 84% more feed per kilo of beef than in 2016.

each oval = the Dec 1974 low · ratio of US cattle and corn producer price index

US slaughter cattle ÷ corn

BLS (US federal statistics office) · 1971→ · 666 mo

EU beef ref. price ÷ compound feed

Eurostat · 2015→ · 129 mo

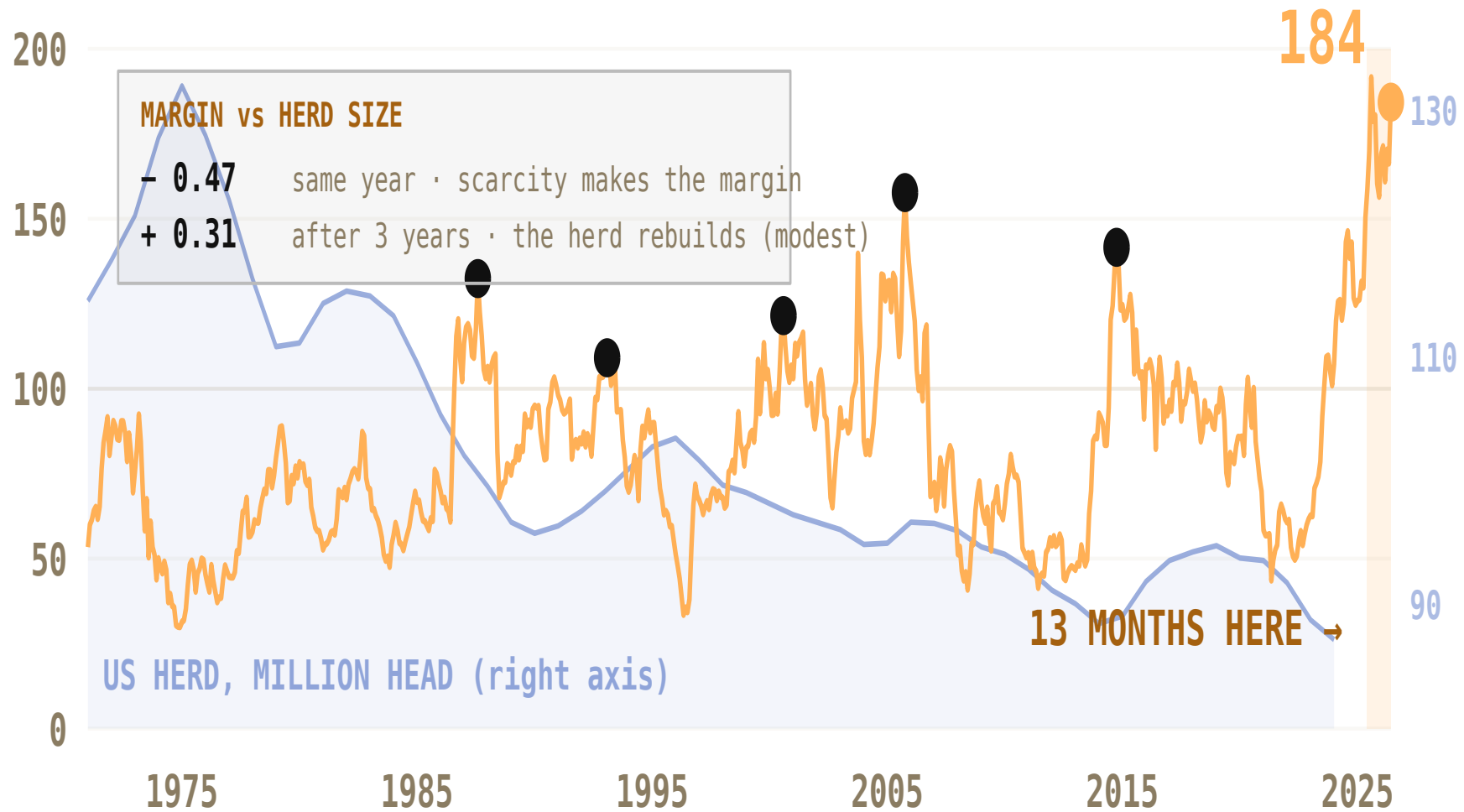
TR meat ÷ feed PPI

TurkStat · 2010→ · 198 mo

Not the same basket in each country — which is why each series is indexed to its own base, and why we read shape rather than level.

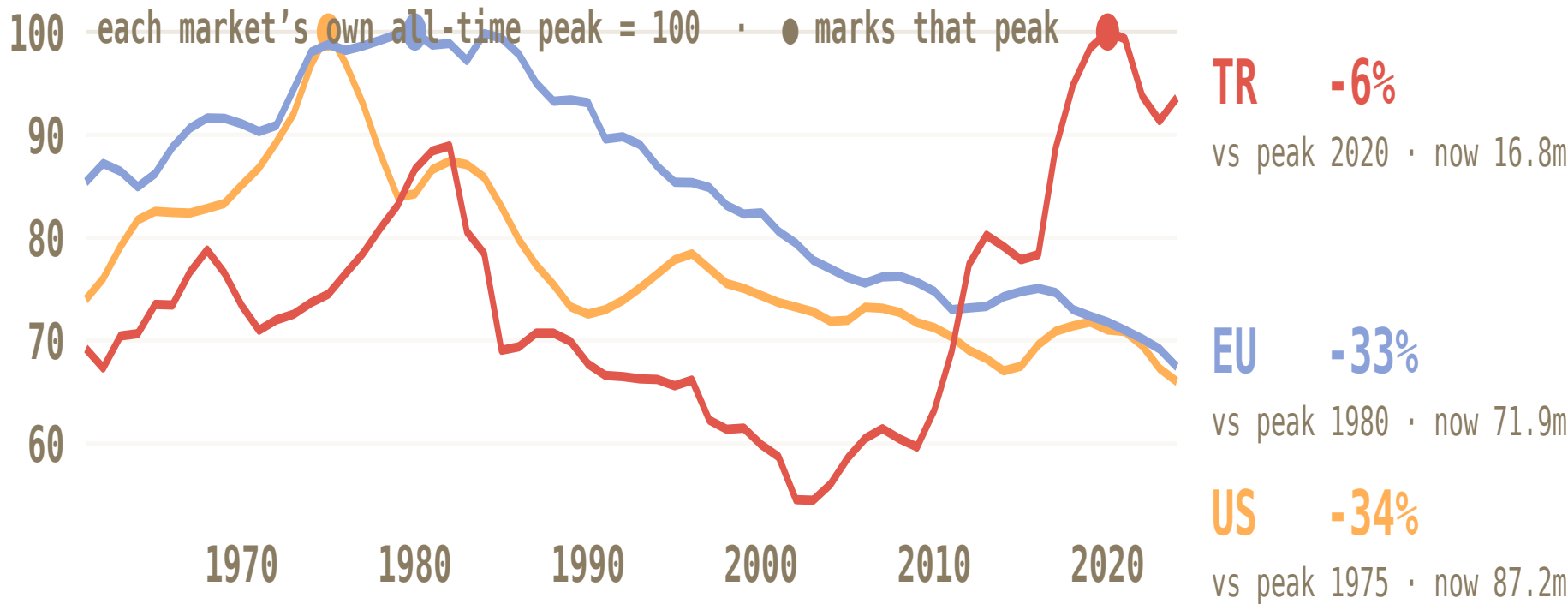
Record margins. Fewest cattle since the series began.

US only. Amber = producer margin ratio (left). Blue = the size of the US cattle herd (right). Scarcity is what makes the margin.



Two herds down a third. One still growing.

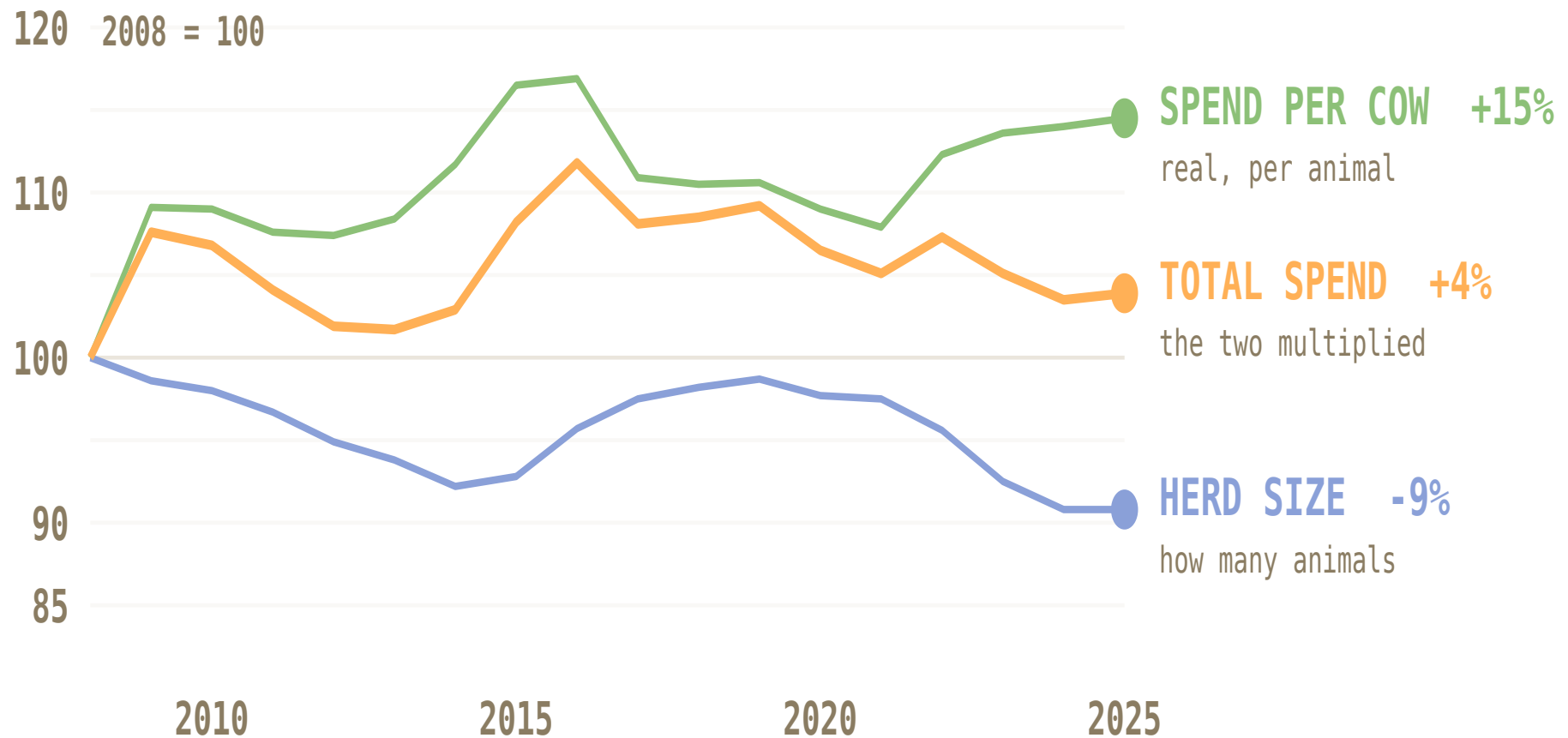
Cattle numbers, each market against its own all-time peak. Margin is measured per animal — this is how many animals there are.



These counts include dairy and beef animals together — FAOSTAT reports all cattle. Parity, by contrast, is a beef measure throughout. That matters most for the EU, where a large part of the decline is dairy restructuring (fewer, higher-yielding cows, accelerating after quotas ended in 2015) rather than the beef cycle. The US herd is predominantly beef, so its line is the closest match to the parity line. Series ends 2024; FAOSTAT publishes with roughly an 18-month lag.

More per animal. Fewer animals. Total flat.

US cow-calf vet & medicine spending, inflation-adjusted. Per animal it rises with the margin ($r = +0.70$) — the shrinking herd cancels it out.



Five US peaks. Every one fell 25–60% — over two to five years.

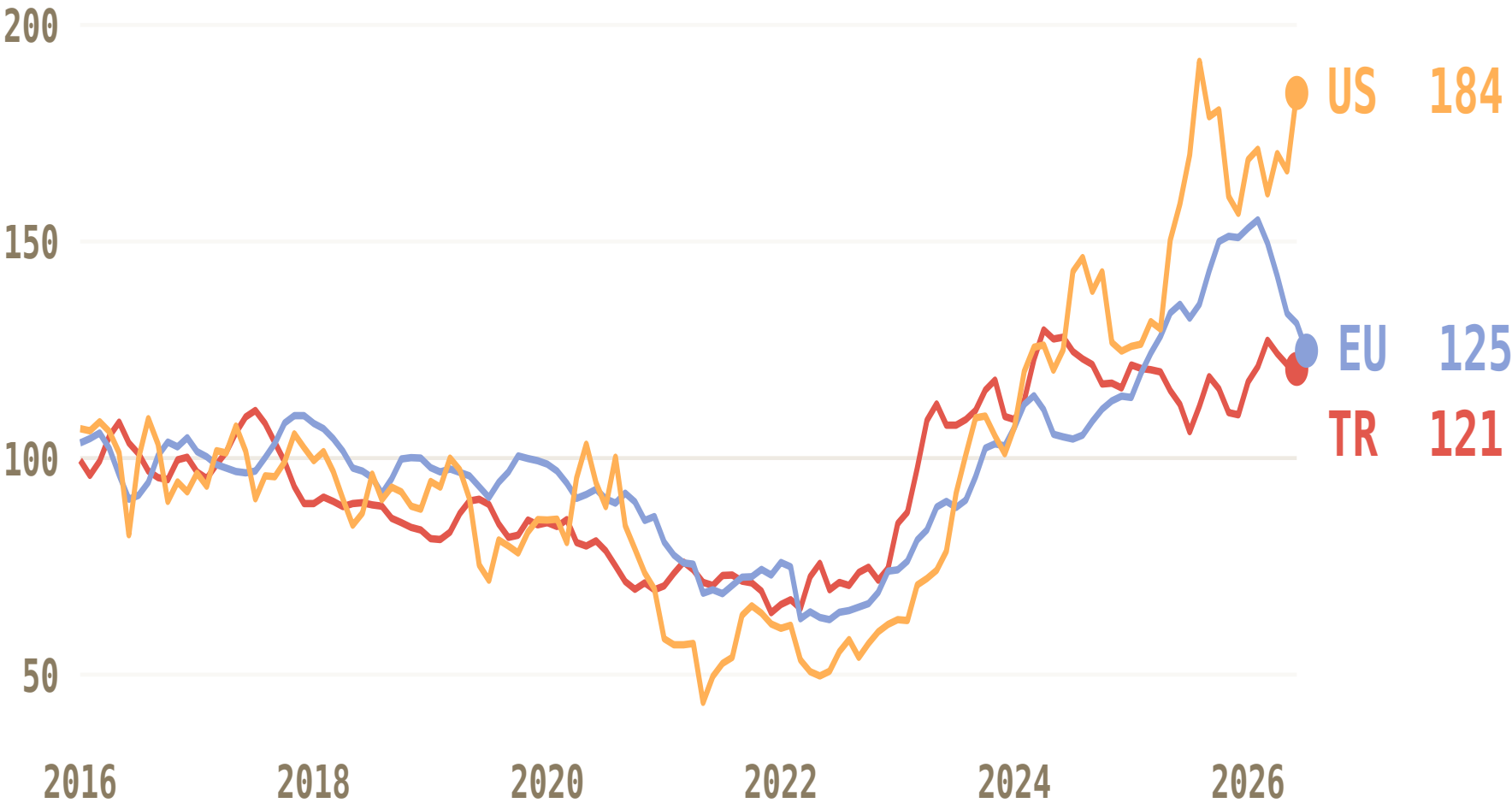
US cycles, 1971–2026 — the only record long enough to count them. Peaks and falls measured on the twelve-month average, so single-month spikes do not count as cycles.



TWELVE-MONTH AVERAGE • PLATEAU = MONTHS WITHIN 10% OF PEAK • FALL = PEAK TO THE NEXT LOW • A CYCLE PEAK IS A LOCAL MAXIMUM OVER ±18 MONTHS

Three markets. One cycle. At the same time.

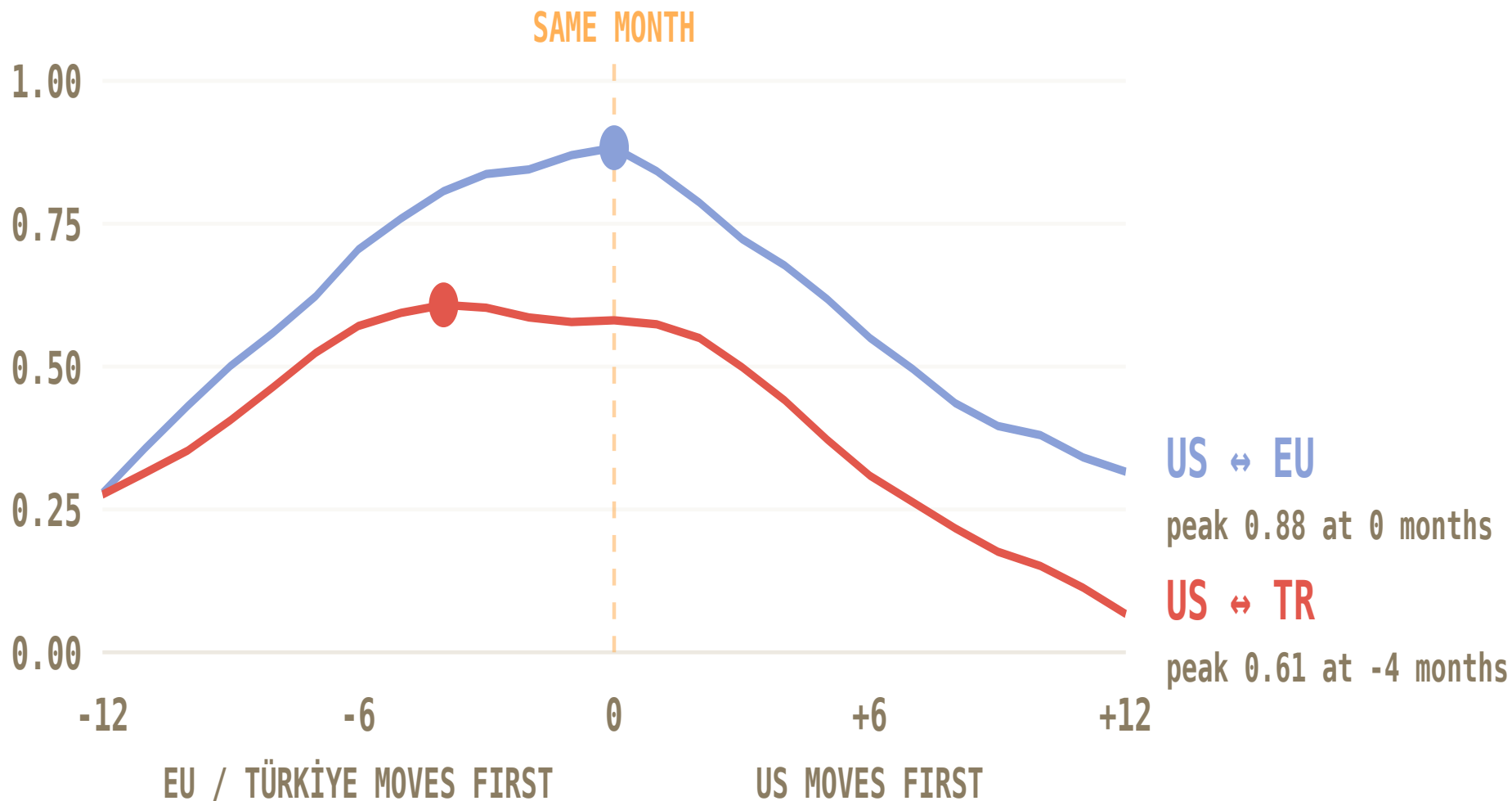
Now all three — each on its own 2016 = 100 base. Watch the shape, not the gap: the level is not comparable, the timing is.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 • US-EU CORRELATION 0.88 AT ZERO LAG

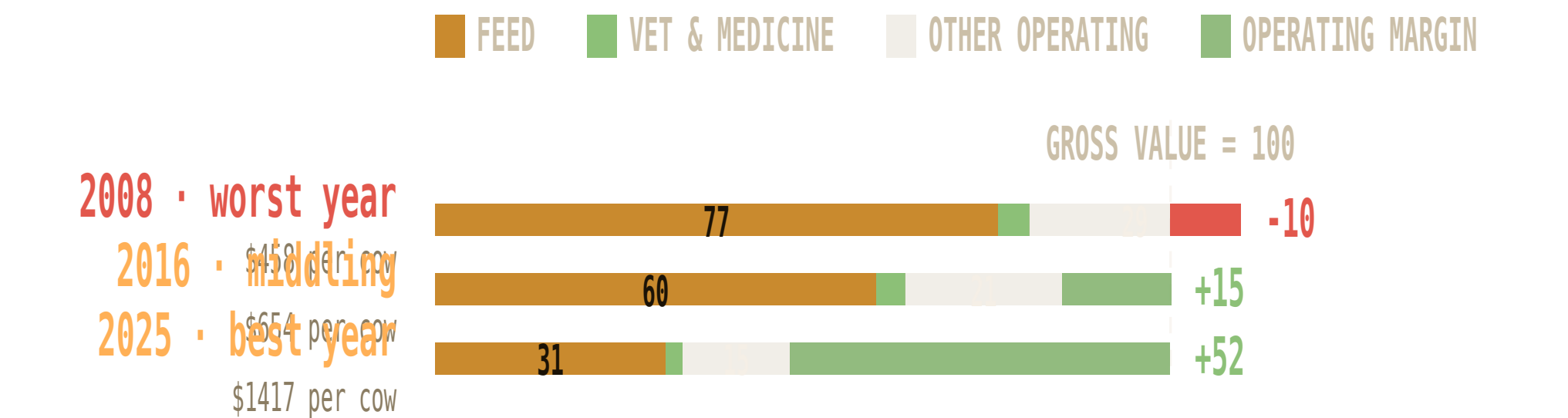
Yes — and nobody goes first, so there is no early warning.

Correlation of year-on-year change, tested at every shift from -12 to +12 months. A market that led would peak clearly off-centre. The EU peaks exactly at zero; Türkiye is flat across -4 to 0.



Feed was 77% of revenue. Now it is 31%.

USDA's own cow-calf accounts, per \$100 of gross value. Nothing modelled — these are surveyed costs. The feed line does the swinging; vet spend barely moves.



Operating margin, not profit — excludes overhead, unpaid family labour and capital recovery (USDA costs these at ~¾ of gross value). Cow-calf, not feedlot, so no calf-purchase line.

EVERY SOURCE IN THIS DECK

Meat & feed prices
US: BLS producer price indexes WPU0131 (slaughter cattle) ÷ WPU012202 (corn), via FRED, 1971 →
EU: European Commission beef reference price ÷ feed grain, 2015 →
Türkiye: TurkStat Yi-ÜFE TP.TUFE1YI.T17 ÷ T25, via CBRT EVDS, 2010 →

Cattle numbers
FAOSTAT cattle stocks (head), via Our World in Data, 1961–2024, all three markets
Veterinary spend
US: USDA ERS commodity costs and returns, cow-calf, 1996 →
EU: Eurostat Economic Accounts for Agriculture, item AM205000, 2005 →

Deflators
US: CPI-U (FRED CPIAUCSL) · Euro area: HICP (FRED CP0000EZ19M086NEST)
Breaks & limits
ERS changed survey basis in 2008 — no comparison spans it. EU veterinary line covers all livestock, not cattle alone. No per-head cost accounts published for Türkiye.

Six numbers. Each one checkable.

Each one reproducible from the committed data files. Three describe where we are; three describe what it does to us.

184

US margin at a 55-year record

2016 = 100. The twelve highest months in the whole series have all fallen since June 2025.

−34% / −33%

US and EU herds below their peaks

Scarcity is what makes the margin: parity and herd size correlate −0.47 in the same year.

0 of 5

previous US peaks that held

Every one reversed — 25 to 60%, over two to five years. Five observations: a pattern, not a law.

+0.70

US spend per head vs producer margin

The strongest relationship in the study. In the EU the same measure is flat — no cycle response at all.

0.88

US–EU correlation at zero lag

One global cycle with no leader and no follower, so there is no early-warning market to watch.

+4%

the real US pool, in seventeen years

Spend per head +15%, herd −9%. More per animal, fewer animals, and the two nearly cancel.

Three markets. Three different instructions.

Same cycle everywhere, three different consequences. The US is a timing problem. The EU is a volume problem. Türkiye is a visibility problem.

US	EU	TÜRKİYE
HOW MANY ANIMALS	HOW MANY ANIMALS	HOW MANY ANIMALS
 -34% vs peak · now 87m · bottom 2024	 -33% vs peak · now 72m · -1.4%/yr	 -6% vs peak · now 17m · +2.4% 2024
SPEND vs MARGINcyclical	SPEND vs MARGINflat	SPEND vs MARGINno data
 r = 0.70	 r = 0.00	 —
THE MONEY IN THE MARKET	THE MONEY IN THE MARKET	THE MONEY IN THE MARKET
+4% 17-yr real pool	-5% 20-yr real pool	n/a not measurable
TIME THE PRICE MOVE 2027 points up: the record margin still feeds spend per head, and the herd is bottoming. Phase the increase before the plateau breaks.	DEFEND THE VOLUME 2027 is not a bad year — it is the same year, ~1.5% smaller. No cycle upside, no cycle hit; the herd erodes regardless.	GROW, AND GET VISIBILITY 2027 is the only market where head count adds to volume — and the only one where we cannot see what producers spend.

Spend follows the margin. The margin is late in its cycle.

The link from producer economics to producer spending is no longer an assumption. It is measured — and it points at a timing decision.

1 What is established

Producers are at a cycle peak in all three markets. Five for five, every previous US peak reversed — 25 to 60%, over two to five years. The US and EU herds are a third below their peaks.

2 What the spend data shows

US vet spend per head tracks producer margin at $r = +0.70$, and has risen 15% in real terms since 2008. But the herd fell 9%, so the real pool grew just 4%. In the EU spend per head does not respond to the cycle at all — it is flat.

3 What is still open, and the ask

Which products move, and whether our own sales follow the same curve. Two to three weeks with the livestock commercial teams: map our sales through the last two downturns against this ratio, and rank the portfolio by what a producer defers first. **What I need from you is an introduction to the livestock lead.**